

Economic value of the global cycle factor -- timing a 10Y global bond portfolio

Strategy	Mean (%)	Vol (%)	Sharpe	CER, gamma=5 (%)	CER, gamma=10 (%)
GCF-timed	3.05	7.79	0.39	1.53	0.02
Recursive-mean timing	2.39	7.00	0.34	1.16	-0.06
Buy-and-hold	2.17	6.98	0.31	0.95	-0.27

Real-time strategy, 2005–2024 (n=221 months, asset OOS R2 = 0.13).
Mean–variance exposure w propto $E\hat{\alpha}[r_x]/\sigma_{\hat{\alpha}}^2$ from the recursive GCF_oos forecast (doubly out-of-sample). The Sharpe ratio is scale-invariant; mean, volatility and CER are reported at equal average exposure so the variance penalty is comparable. CER is the annual certainty equivalent of a mean–variance investor. Returns are local-currency excess returns; overlapping 12m returns.